

Merida Industry (9914 TT)

Share price (12 Aug): **TWD93.30**

12-mth rating: **Buy (1)**

Consumer Discretionary: Taiwan

2Q26 results review: core business beat but missed on equity investments

Helen Chien

(886) 2 8758 6254

helen.chien@daiwacm-cathay.com.tw

Neil Teng, CFA

(886) 2 8758 6256

neil.teng@daiwacm-cathay.com.tw

Summary: Merida posted its 2Q26 results on 12 August after market hours. Its operating profit of TWD765m (+175.7% QoQ, +8.4% YoY) beat our and the Bloomberg consensus estimates by 60.1% and 44.7%, respectively. However, its 2Q26 EPS was TWD1.06, lower than our forecast (TWD1.50) and the consensus estimate (TWD1.69); we attribute this to a net loss from its equity investments. Merida plans to hold an investor call on 14 August and we will provide an update then.

We have a Buy (1) rating. For more information on this company, please refer to our latest memo, [2Q26 revenue beat our and the consensus forecasts](#), on 10 July 2026.

What's the impact

- **2Q26 results review: core business beat but missed on equity investments.**

Merida's 2Q26 revenue of TWD6,939m (+30.4% QoQ, -0.9% YoY) beat our and the Bloomberg consensus estimates by 10.3% and 2.6%, respectively. Its gross margin came in at 19.8% (vs. 15.4% in 1Q26; 18.8% in 2Q25), higher than our (16.5%) and the consensus (16.4%) estimates, which we attributed to the momentum brought by new models and the recovery in Europe with less price discounting and China. Thus, its operating margin came in at 11.0% (vs. 5.2% in 1Q26; 10.1% in 2Q25), beating our estimate of 7.6% and the consensus estimate of 7.8%. Its operating profit of TWD765m (+175.7% QoQ, +8.4% YoY) also beat our and the consensus estimates by 60.1% and 44.7%, respectively. However, considering the equity investment loss of TWD200m+, its net profit of TWD318m (-2.3% QoQ, -19.2% YoY) missed our and the consensus estimates by 29.3% and 36.1%. Its 2Q26 EPS was TWD1.06, lower than our forecast (TWD1.50) and the consensus estimate (TWD1.69).

Merida: 2Q26 results vs. Daiwa and the Bloomberg estimates

(TWDm)	Merida 2Q26 results	Daiwa forecast	Difference	Bloomberg consensus	Difference
Revenue	6,939	6,289	10.3%	6,761	2.6%
Gross profit	1,374	1,038	32.4%	1,112	23.6%
Operating profit	765	478	60.1%	529	44.7%
Profit before tax	462	591	-21.8%	671	-31.1%
Net profit	318	450	-29.3%	498	-36.1%
Basic EPS (TWD)	1.06	1.50	-29.3%	1.69	-36.9%
Margin					
Gross margin	19.8%	16.5%	3.3pp	16.4%	3.4pp
Operating margin	11.0%	7.6%	3.4pp	7.8%	3.2pp
Pre-tax margin	6.7%	9.4%	-2.7pp	9.9%	-3.3pp
Net margin	4.6%	7.2%	-2.6pp	7.4%	-2.8pp

Source: Company, Bloomberg, Daiwa forecasts

- **2026 outlook: revenue to decline YoY while profitability improves — the worst is over.** By region, Merida sees the demand recovery in Europe and China but some uncertainty in the US market. In 2H26, Merida expects the demand recovery to be continuous with better product mix to support its profitability.

What we recommend

We have a Buy (1) rating. The stock is currently trading at PERs of 19.8x/16.1x, based on our 2026/27E EPS, vs. its past-5-year one-year-forward PER trading range of 7-33x.

Downside risks: slower-than-expected e-bike penetration in the EU and the US, worse-than-expected demand in an inflationary environment and inventory digestion.

In the interests of timeliness, this document has not been edited.

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Rating	Percentage of total
Buy*	72.63%
Hold**	20.53%
Sell***	6.84%

Source: Daiwa

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